JAPAN'S RELATIONS WITH FORMOSA.

(Brief for the Secretary of State for use with Mr.Acheson)

Background.

On the 19th June last Mr. Morrison and Mr. Dulles approved a press release on the subject of "Chinese Participation (in the Japanese Peace Treaty) and Formosa". A copy is at Flag A. This statement, at Mr. Dulles's request, was never issued as such, but was used by both Governments in giving guidance to the press.

This understanding, by eliminating the only major point of difference between His Majesty's Government and the United States Government, made possible the successful conclusion of the Japanese Peace Treaty within a reasonable space of time. Mr. Morrison spoke on the lines of this agreement to Mr.Yoshida in San Francisco on September 8th. He emphasised that the Government and people of Japan would have to decide for themselves about recognition of China, but that they would be well advised to avoid precipitate action (San Francisco telegram No. 1 Saving, Flag B.).

The former Foreign Secretary told Mr. Acheson and Mr. Dulles on September 9th that he hoped "that Japan would be in no hurry to take a decision on recognition of either Chinese Government. It was my understanding that Mr. Dulles had agreed that this was a decision for Japan to take for herself when she was free to do so". The Secretary of State observed that Mr. Acheson and Mr. Dulles "were sympathetic and agreed that it would be a mistake for the Japanese to make any approach to the Chinese Nationalist authorities before the United Kingdom had ratified the Treaty, though they admitted that it would help to secure United States ratification if some action in this direction had been taken. Mr. Dulles said that he thought that the Japanese would need

some /

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some sort of working arrangement with the authorities in Formosa, though he did not think there need be any question of formal recognition of the Nationalist Government". (Washington telegram No. 945 Saving, Flag C).

Mr. Merchant's visit.

On the 12th November the United States Embassy showed the Foreign Office a copy of a telegram from Mr. Dulles to Mr. Acheson recommending that Mr. Merchant should discuss with the Foreign Office the possibility of Japan beginning conversations with the Chinese Nationalists for a Peace Treaty whose effect would be confined to the territory actually controlled by Chiang Kai Shek. (Copy attached at Flag D).

Mr. Merchant held conversations at the Foreign Office on November 13th and 14th. These official-level conversations resulted in a draft memorandum for submission to the Secretary of State and Mr. Acheson respectively. (Flag E). Before this was submitted to the Secretary of State, the views of Sir E. Dening on the draft memorandum were obtained (Flags F and G). When the draft and Sir E. Dening's comments were submitted to the Secretary of State, he directed on November 19th that a personal message should be sent to Mr. Acheson saying that he would need more time to consider this question (Flag H). Before Mr. Acheson received this message he telegraphed to the United States Embassy here saying that he for his part had approved the draft memorandum.

On November 20th, after further consideration, the Secretary of State approved a second message to Mr. Acheson explaining why he was unable to agree to the draft memorandum (Flag I).

Points /

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Points which may be raised by Mr. Acheson.

It may be useful to record the following points about Japan's relations with Formosa:

(a) Trade between Japan and Formosa is of growing importance;

(b) The Japanese have recently decided to establish an Overseas Agency (an informal representation which is the only kind allowed to them in present circumstances) in Formosa;

(c) The Chinese Nationalists are represented in Tokyo by a Mission which is accredited to the Supreme Commander. Like the other Missions by which the remaining powers concerned are represented in Tokyo, this will disappear when the Treaty comes into force, and the Japanese will soon be faced with the problem of what, if anything, to do then, about Nationalist representation in Tokyo.

(d) Under Article 4 (a) of the Japanese Peace Treaty (Flag J) Japan may be called on to make special arrangements with the authorities in Formosa, as in the other territories renounced by her in the Peace Treaty, regarding property and claims matters in Formosa.

These points all strengthen the case for a modus vivendi, which we ~~recognise~~ admit, but do not counterbalance the arguments against any form of recognition by Japan of the Nationalist authorities as sovereign either of Formosa or of all China.

C.H. Johnston.

(C. H. Johnston)
20th November, 1951.

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